

clear that we are not processing any payments of any crypto exchange,” says Vishwas Patel, Executive Director at Infibeam Avenues.

After the Supreme Court’s judgement, crypto exchanges flourished in the country, but their expansion plans hit a wall when banks pulled their payment API integration from the exchanges. Though there was no notification from the RBI after the ruling, banks were informally told to stop their services to exchanges.

“We are all aware that a regulatory framework for emerging technology will require deliberations and take time. However, to constrict an Indian extension of a global industry that is making honest efforts at self-regulation and compliance comes across as disproportionate,” says

Garegrat of CoinDCX.

TAXATION TALES

Another reason for the decline in trading volumes and turnover has been the imposition of a 30 per cent tax on crypto gains from April 1, 2022. The Finance Bill, 2022, inserted a new section—115BBH—to tax the income arising from the transfer of Virtual Digital Assets (VDA) with no provision for setting off and carrying forward unclaimed losses. Market players say that while taxation is a welcome step as it gives a kind of passive acknowledgement from the government, they fear that such a high tax rate can impact the liquidity in the market. “Taxation is welcome as it brings clarity to the ecosystem. However, we don’t quite

agree with the quantum of tax levied,” says Subburaj of Giottus.

There is a bigger problem for exchanges that can potentially reduce the liquidity from the market: the 1 per cent Tax Deducted at Source (TDS) for every transaction. Exchanges argue that frequent traders may fall short of capital if TDS is deducted for every trade. Traders might have to resort to trades below the TDS trigger limit to circumvent it or operate in foreign exchanges. “Crypto is all about anonymity. So now with the 1 per cent TDS, the anonymity of crypto has gone,” says Patel of Infibeam Avenues.

Subhash Chandra Garg, a former finance secretary, is blunt: “This argument is very flawed. Crypto transactions are transactions where

GLOBAL CRYPTO REGULATIONS

UNITED STATES

- The US has investor protection laws for the cryptocurrency market. It has a dual legislative system where both the federal and state governments can frame regulations
- Coinbase, a US-based exchange, is listed on the NASDAQ, reflecting the wider acceptance of cryptos in the country

EL SALVADOR

The first country to officially declare Bitcoin as a legal currency

UNITED KINGDOM

- The tax authority of the country has made it clear that cryptocurrencies can be considered as capital assets
- Exchanges need to be registered with the Financial Conduct Authority and take all measures to protect customers

SINGAPORE

- To facilitate the transmission, exchange or storage of cryptocurrencies, an entity needs to hold a licence
- Regulations in the country provide clearer guidelines with respect to anti-money laundering and counter-terrorism financing

CENTRAL AFRICAN REPUBLIC

It became the second country to adopt Bitcoin as legal tender

